



STABLE GROWTH CONSUMER STAPLES (\$SGCS) ETF

MSDS 451: Financial Engineering
Eli Freedman | November 23, 2025

INVESTMENT PHILOSOPHY

Stable Growth Consumer Staples ETF (\$SGCS)

- Focus on large-cap U.S. consumer staples (\$PG, \$KO, \$PEP, \$COST, \$WMT)
 - Objective: steady long-term growth with lower downside risk
 - Designed for conservative investors: retirees, pensions, endowments
 - Active, data-driven rebalancing instead of passive indexing
 - Target: Beat \$VDC by 3–5% CAGR with similar drawdowns
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INVESTMENT METHODS

Momentum

- Buy winners in short-term trends

Parameters:

- Lookback Period
- Long/Short Designation
- Neutral Band

Mean-Reversion

- Buy undervalued stocks likely to bounce back

Parameters:

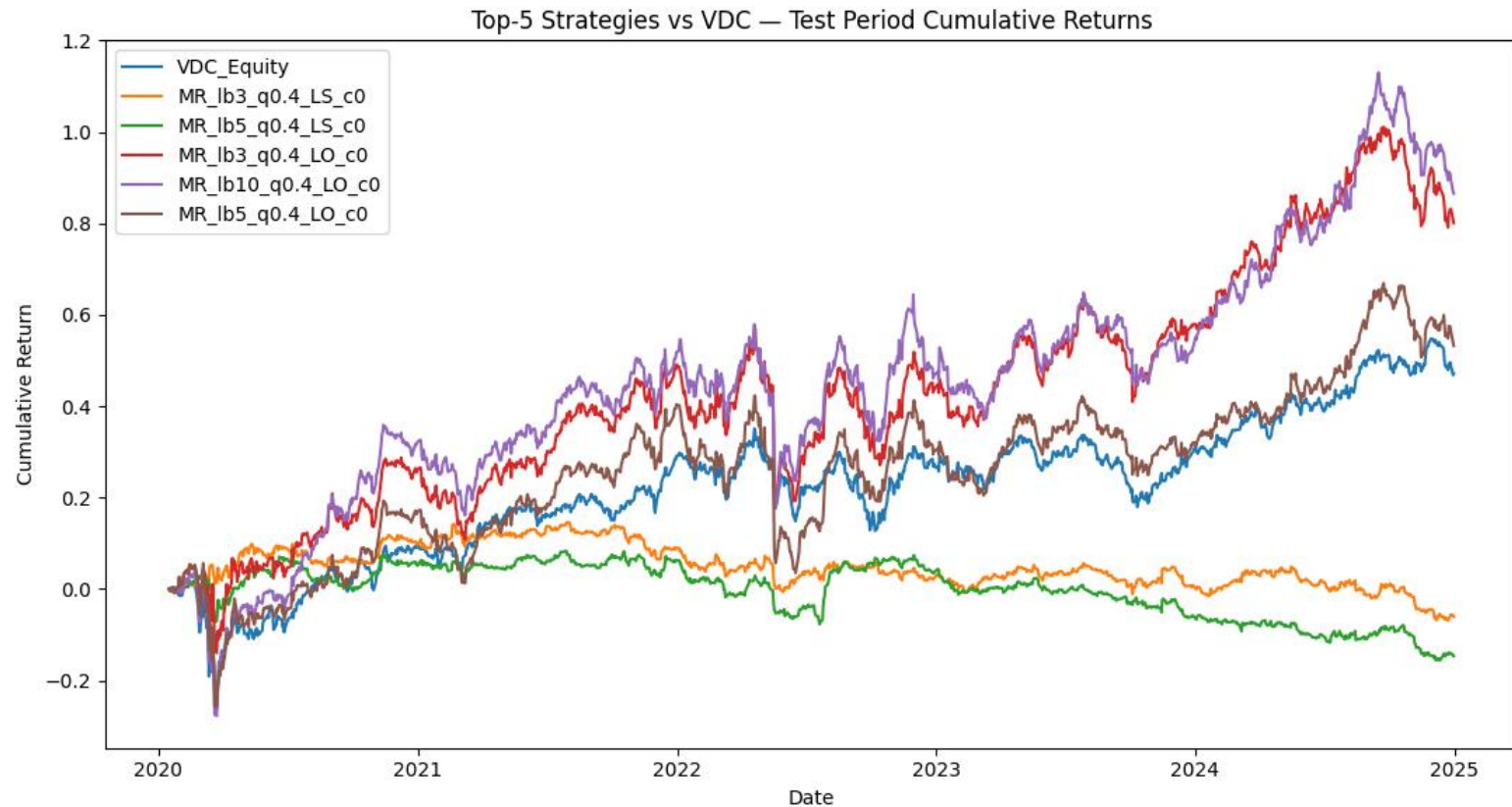
- Lookback Period
 - Long/Short Designation
 - Quantile Threshold
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SECURITIES

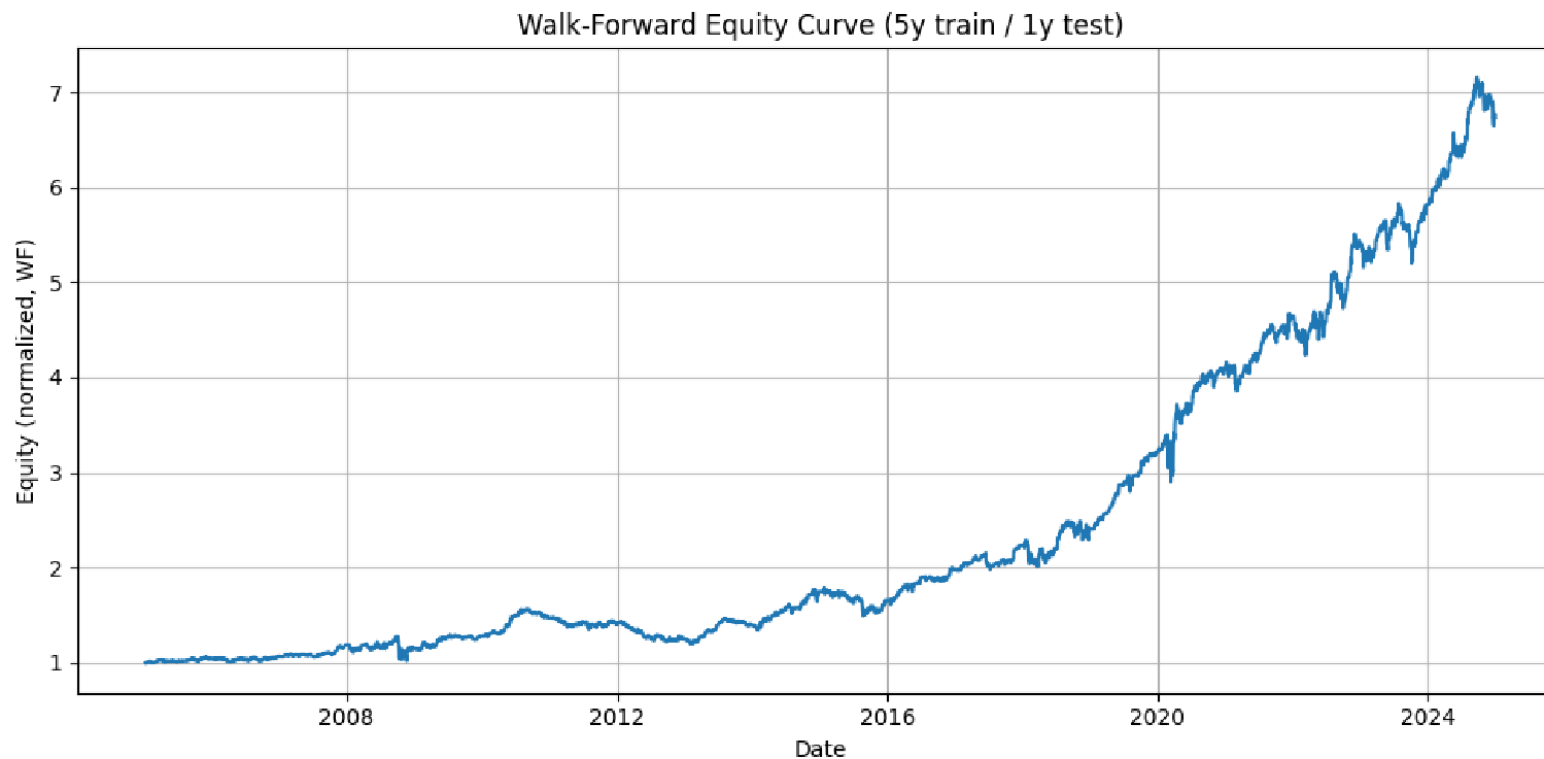
Equity	Avg. Volume	Market Cap	PE Ratio
\$PG	7M	350B	21
\$KO	16M	300B	23
\$PEP	7M	200B	27
\$COST	2M	400B	50
\$WMT	16M	820B	39

Note: Metrics as of November 11, 2025

PERFORMANCE EVALUATION



PERFORMANCE EVALUATION



MANAGEMENT RECOMMENDATION

Why Invest in SGCS?

- Proven ability to outperform \$VDC with similar risk
 - Consistent alpha and lower market sensitivity
 - Flexible, data-driven, long-only approach
 - Ideal for conservative investors seeking steady compounding
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